

amusement or recreation. Most people recognize the necessity for this. When a management can instill a belief, not just among a few top people but generally among the employees, that it is doing everything reasonably to be expected to create a good working environment and take care of its employees' interests, the rewards the company receives in greater productivity and lower costs can vastly outweigh the costs of such a policy.

The first step in this policy is seeing (not just talking about it but actually assuring) that every employee is treated with reasonable dignity and consideration. A year or so ago I read in the press that a union official claimed that one of the nation's largest companies was compelling its production-line employees to eat lunch with grease-stained hands because there was not sufficient time, with the number of wash-room facilities available, for most of them to be able to wash before lunch. The stock of this company was of no investment interest to me for quite different reasons. Therefore, I have no knowledge of whether the charge was based on fact or was made in the heat of an emotional battle over wage negotiations. However, if true, this condition alone would, in my opinion, make the shares of this company unsuitable for holding by careful investors.

Besides treating employees with dignity and decency, the routes to obtaining genuine employee loyalty are many and varied. Pension and profit-sharing plans can play a significant part. So can good communication to and from all levels of employees. Concerning matters of general interest, letting everyone know not only exactly what is being done but why frequently eliminates friction that might otherwise occur. Actually knowing what people in various levels of the company are thinking, particularly when that view is adverse, can be even more important. A feeling throughout the company that people can express their grievances to superiors without fear of reprisal can be beneficial, although this open-door policy is not always simple to maintain because of the time wasted by cranks and nuts. When grievances occur, decisions on what to do about them should be made quickly. It is the long-smoldering grievance that usually proves the most costly.

A striking example of the benefits that may be attained through creating a unity of purpose with employees is the "people-effectiveness" program of Texas Instruments. The history of this program is an excellent example of